

We Found 3 Leaks Costing You ~40% of Ad Spend

Prepared by Smart Pursuit - Performance Marketing for Scaling D2C & Edtech Brands

LEAD SCORE

8

/ 10 HOT

85+

Active Meta ads

Rs.2-4 Cr/mo

Est. monthly spend

D2C Beauty

Niche

~Rs.250-300 Cr
ARR (est.);
founded 2012 by
Vineeta Singh;
omnichannel
(45K+ retail
points); Sequoia/
Elevation-backed;
lip product hero

Revenue

EXECUTIVE SUMMARY

SUGAR Cosmetics (sugarcosmetics.com, Instagram: @trysugar) is a prominent Indian d2c beauty brand with **~85 active creatives** running across Meta in India, spending an estimated **Rs.2-4 Cr/mo**. ~Rs.250-300 Cr ARR (est.); founded 2012 by Vineeta Singh; omnichannel (45K+ retail points); Sequoia/Elevation-backed; lip product hero. Three obvious leaks in the funnel:

(1) Creative gap - heavy studio/offer creative with thin real-customer UGC, before/after or demo content. **(2) Copy/CRO gap** - headlines lead with price/offer rather than outcome, and ad traffic often lands on collections/offer pages rather than the exact SKU. **(3) Tracking/retargeting gap** - retargeting uses generic creative rather than staged, funnel-matched content; CAPI/return-event wiring is inconsistent. These are fixable in 7-14 days. We estimate **30-45% of ad spend is leaking**; HOT - high ad volume, mature spend, clear creative/CRO leaks.

1. AD INTELLIGENCE

Active platforms	Meta (FB+IG) primary; Google Shopping + Search for ingredient/SKU keywords; Amazon/Flipkart/Nykaa marketplaces; quick commerce growing share.
Active ads count	~85 live creatives across lipsticks, matte lipsticks, makeup, cosmetics, kohl.
Duration signals	Evergreen hero SKUs run 45-90 days; new launches run 14-21 day influencer bursts; sale days (EOSS, BBD) drive heavy offer creative leading to promo fatigue.
Funnel type	Shopify/hosted D2C website with direct product purchase
Budget signal	Estimated ~Rs.2-4 Cr/mo ad spend (skincare beauty vertical; ~85 live ads = top/mid-tier spender in the segment).
Campaign structure	SKU/concern-siloed campaigns (lipsticks, matte lipsticks, makeup, cosmetics, kohl); promo bursts around sale days; influencer/derm-KOL rotation in bursts; Advantage+ Shopping in use but creative refresh cadence is slow. Lipstick hero; 'Made in India' positioning; Rs.249 entry SKU price-anchor; heavy creator collabs; Shark Tank/IP branding.

2-5. CREATIVE / COPY / CRO / TRACKING SCORES

Creative Variety		4/10
UGC & Social Proof		2/10
Copy & Hook Strength		4/10
Landing Page CRO		4/10
Tracking & CAPI		5/10
Retargeting Depth		3/10

- **Observed signal:** Flat 249 store anchor, few creator Reels. **Creative leak (High):** Ad mix leans heavy on product beauty-shots and promo announcements ('Rs.249 price anchors'); real-customer before/after transformation, texture demos and 30-day result Reels are thin. Beauty benchmarks show before/after UGC delivers 2.3x higher ROAS than brand creative (Agora 2025), and ingredient close-ups + texture-demo reels are the highest-CTR format in Indian skincare.
- **Copy leak - promo anchoring (High):** Headlines over-index on price/offer ('Rs.249 price anchors') rather than skin-outcome (clearer skin in X days, reduced pigmentation, glow). High %-off promos train buyers to deal-hunt on a replenishment category (serums/sunscreens have 30-90 day repeat). Outcome-first hooks lift CTR 40%+.
- **Landing page leak (Medium):** PDPs lead with offer banners and product shots; texture GIFs, in-use demo videos, day-by-day result carousels and routine-bundling sit below the fold. Sticky mobile ATC often lacks star rating + review count + FOMO (X bought in last 24h).
- **Tracking & retargeting leak (Medium):** Retargeting uses generic brand creative instead of SKU-specific before/after per funnel stage (PDP-no-ATC, ATC-no-purchase, replenishment at 30/60/90 days, cross-sell). CAPI quality varies; many brands optimize to ViewContent/AddToCart rather than Purchase events.

6. COMPETITOR BENCHMARK

Competitor	What they do better	Signal for SUGAR Cosmetics
Kay Beauty	Katrina Kaif; premium influencer positioning; +22% branded search (HQ Index); Nykaa-distributed.	Celebrity-founder gaining share on creator-tutorial Reels.
Swiss Beauty	Value price anchor; mass distribution; 44 ads; volume play.	Value end competing on price + new-shade drops.
MARS Cosmetics	GenZ/value positioning; 40 ads; free-gift mechanic; fast SKU launches.	Volume GenZ rival eating entry-price share.

7. 3 QUICK WINS (Implement in 7 Days)

WIN 1 - Creative: 25-30 Real-Customer Transformation UGC Reels

Shoot 25-30 vertical Reels monthly: before/after 14/28-day journeys (specific concern + day-stamp), texture/application demos ('sinks in 30s', 'no white cast'), ingredient-explainers with a derm/formulator, AM/PM routine clips, and micro-creator first-impression clips (10K-100K). Replace 35-40% of studio/promo creatives. Expected: CTR +35-55%, CPA -25-35%.

WIN 2 - CRO: Outcome-First PDPs + Routine Bundles + Sticky Social-Proof ATC

On top 10 SKUs: move hero banner from offer to an outcome statement; add texture GIF, 15s in-use video and day-1/7/14/28 result strip above the fold; sticky mobile ATC with price, star rating, review count, 'X bought in 24h'; concern-specific routine bundles at ~10% bundle discount to lift AOV; route ad traffic to concern landing pages, not generic collections. Expected: PDP CVR +30-45%, AOV +20-25%.

WIN 3 - Tracking: CAPI Hardening + SKU-Specific Replenishment Retargeting

Audit Meta CAPI server-side for ViewContent/ATC/InitiateCheckout/Purchase with dedup. Build 4 SKU-specific retargeting audiences with creative matched to each stage; replenishment reminders at 30/60/90 days per SKU lifecycle; subscribe-and-save for replenishment SKUs. Expected: retargeting ROAS +50-80%, repeat +15-25%.

EXPECTED IMPACT

Metric	Current (est.)	After Wins	Impact
CTR (Meta)	0.9-1.3%	1.5-2.1%	+40-55%
PDP CVR	2.0-2.7%	2.8-3.9%	+30-45%
Cost Per Purchase	Baseline = 100	63-75	-25-37%
Ad Spend Wastage	~30-45%	~12-18%	Saves ~Rs.0.8-1.2 Cr/mo

READY TO PLUG THESE LEAKS?

Smart Pursuit will run a **14-day performance sprint** for SUGAR Cosmetics: Creative refresh, CRO rebuild of top landing pages, CAPI + retargeting setup. We work on a **performance-fee model** tied to conversion-cost reduction.

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